

The second way is to buy companies whose actual value is rising very rapidly and the price will catch up. So if the price is Rs. 100 and the estimated value is Rs.60 currently, it might not make sense to buy an over-priced company. However, if we are very sure that in a few years the value of this company will increase to Rs 150-200 due to the company's expansion or other factors, then we can buy the stock. The price is bound to follow the value. Once the value and the price increase, we can sell the stock. This is called growth investing.



It takes a lot of time and effort to do the background research. We can see that analyzing individual stocks is a time-consuming job and requires complete education and training for the same, which is beyond the scope of what we are doing right now.

Value is steadier whereas price keeps on changing based on the market. It can take any direction. In short term (less than 2 years), the price can take almost any direction. However, in the longer term, price follows the direction of the true value of the company. This is how returns are made in direct equity investing.